

## Jentech Precision Industrial Co.

Stronger content growth; OW

We revise up our estimates on the company and keep OW. We believe the company will continue to deliver quality earnings growth in the future with solid GM given better mix. For the longer-term outlook, we are more constructive on the company's 2027 and 2028 growth potential, as the heat spreader content growth of Rubin Ultra GPU (with the potential design of stiffener + disposable lid + additional screws) could be 2-4x vs the current Rubin 1-piece lid design. We also believe the continued heat spreader spec upgrade of both AMD GPU and each CSP ASIC will support structural growth for Jentech as well. OW.

- **Significant content growth in GPU platform.** Broadly speaking, we estimate the ASP to GPUs will increase by more than 100% in the next generation. Though the design is yet to fully confirm, we model the spreader design of the Rubin Ultra GPU will be "stiffener + disposable lid" (highlighted multiple times since our Jan note, [link](#)), which should be one of the major drivers of Jentech's earnings. In addition, we believe the heat spreader design will require some screws to attach a lid during chip packaging, and after the packaging and testing process, the screws and lid will then be removed by the ODM vendors to place cold plates on top of the chip with a stiffener and a TIM1.5. Overall, we forecast the total content could be 2-4x vs current generation.
- **Solid 3Q26 growth outlook.** Post the solid revenue growth in 2Q26 (+30% QoQ), we believe the strong revenue momentum will continue into 3Q26E, driven by GPU customers' shipment ramp up. Our 3Q26 revenue is estimated to be NT\$9.7bn, suggesting 33% QoQ and 91% YoY growth. Also, our GM estimate is at 47.5% vs 46.8% in 2Q26 and 39.0% one year ago, reflecting better product mix towards more AI chip contribution.
- **Implications.** We keep our 2026E EPS unchanged but lift 2027E and 2028E EPS by 3% and 9% to NT\$129 and NT\$207, respectively, to factor in a stronger content growth GPU customers. Hence, our new Dec-27 PT is now at NT \$6,200, based on an unchanged 30x 2028E P/E, which is largely in line with Jentech's 3yr avg P/E when the AI server boom started.

## Overweight

3653.TW, 3653 TT  
Price (14 Aug 26):NT\$4,855.00

▲ **Price Target (Dec-27):NT\$6,200.00**  
Prior (Dec-27):NT\$5,650.00

### Technology

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### Quarterly Forecasts (FYE Dec)

| Adj. EPS (NT\$) | 2025A | 2026E  | 2027E  |
|-----------------|-------|--------|--------|
| Q1              | 9.59  | 9.53A  | 22.34  |
| Q2              | 7.85  | 15.80A | 25.72  |
| Q3              | 9.49  | 20.72  | 35.90  |
| Q4              | 9.74  | 22.11  | 45.08  |
| FY              | 36.68 | 68.16  | 129.04 |

### Style Exposure

| Quant Factors | Current | Hist %Rank (1=Top) |    |    |    |
|---------------|---------|--------------------|----|----|----|
|               | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value         | 75      | 90                 | 62 | 68 | 62 |
| Growth        | 9       | 6                  | 5  | 49 | 16 |
| Momentum      | 56      | 23                 | 20 | 15 | 85 |
| Quality       | 27      | 12                 | 12 | 15 | 56 |
| Low Vol       | 94      | 97                 | 90 | 84 | 83 |

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

## Price Performance



|     | YTD   | 1m    | 3m    | 12m    |
|-----|-------|-------|-------|--------|
| Abs | 76.9% | 58.1% | 44.3% | 222.6% |
| Rel | 18.7% | 55.7% | 34.6% | 133.6% |

## Company Data

|                             |                   |
|-----------------------------|-------------------|
| Shares O/S (mn)             | 142               |
| 52-week range (NT\$)        | 5,685.00-1,465.00 |
| Market cap (\$ mn)          | 21,580            |
| Exchange rate               | 32.03             |
| Free float (%)              | 51.9%             |
| 3M ADV (mn)                 | 1.52              |
| 3M ADV (\$ mn)              | 175.2             |
| Volatility (90 Day)         | 85                |
| Index                       | TAIEX             |
| BBG ANR (Buy   Hold   Sell) | 12 1 0            |

## Key Metrics (FYE Dec)

| NT\$ in millions           | FY25A  | FY26E  | FY27E  | FY28E  |
|----------------------------|--------|--------|--------|--------|
| <b>Financial Estimates</b> |        |        |        |        |
| Revenue                    | 20,276 | 32,165 | 55,056 | 82,546 |
| Adj. EBIT                  | 6,498  | 12,318 | 23,712 | 37,947 |
| Adj. EBITDA                | 7,146  | 13,068 | 24,560 | 38,888 |
| Adj. net income            | 5,277  | 10,001 | 18,935 | 30,306 |
| Adj. EPS                   | 36.68  | 68.16  | 129.04 | 206.54 |
| BBG EPS                    | 36.16  | 61.14  | 124.24 | 197.93 |
| Cashflow from operations   | 4,892  | 11,377 | 17,434 | 29,571 |
| FCFF                       | 1,041  | 9,465  | 15,803 | 27,940 |
| <b>Margins and Growth</b>  |        |        |        |        |
| Revenue Growth Y/Y (%)     | 42.0%  | 58.6%  | 71.2%  | 49.9%  |
| EBIT margin                | 32.0%  | 38.3%  | 43.1%  | 46.0%  |
| EBIT Growth Y/Y (%)        | 71.1%  | 89.6%  | 92.5%  | 60.0%  |
| EBITDA margin              | 35.2%  | 40.6%  | 44.6%  | 47.1%  |
| EBITDA Growth Y/Y (%)      | 62.6%  | 82.9%  | 87.9%  | 58.3%  |
| Net margin                 | 26.0%  | 31.1%  | 34.4%  | 36.7%  |
| Adj. EPS growth            | 52.4%  | 85.8%  | 89.3%  | 60.1%  |
| <b>Ratios</b>              |        |        |        |        |
| Adj. tax rate              | 19.6%  | 20.3%  | 21.0%  | 21.0%  |
| Interest cover             | NM     | NM     | NM     | NM     |
| Net debt/Equity            | NM     | NM     | NM     | NM     |
| Net debt/EBITDA            | NM     | NM     | NM     | NM     |
| ROE                        | 28.0%  | 37.6%  | 51.8%  | 57.8%  |
| <b>Valuation</b>           |        |        |        |        |
| FCFF yield                 | 0.1%   | 1.3%   | 2.2%   | 3.9%   |
| Dividend yield             | 0.3%   | 0.4%   | 0.8%   | 1.6%   |
| EV/Revenue                 | 33.6   | 21.0   | 12.1   | 7.9    |
| EV/EBITDA                  | 95.4   | 51.7   | 27.1   | 16.7   |
| Adj. P/E                   | 132.4  | 71.2   | 37.6   | 23.5   |

## Summary Investment Thesis and Valuation

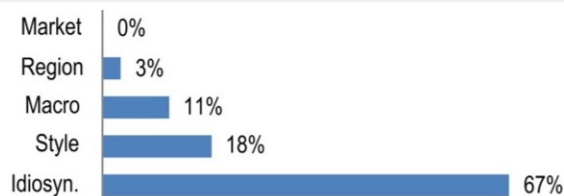
### Investment Thesis

Jentech (OW) is the largest packaging-level cooling component maker worldwide, with leading production capabilities across heat spreader products (including stiffener and all kinds of lids). We expect the company to show a ~70% EPS CAGR over 2024-28, driven by solid heat spreader content growth in future-gen AI chips and increasing TAM into new solutions (e.g., CPO switch ASIC). In addition, the company is reinforcing its product portfolio with new offerings in cold plate and CPU server sockets for chip customers. We believe Jentech's technology leadership in the structural cooling upgrade trend and its new TAM expansion will continue to support its superior earnings power in the long term.

### Valuation

Our Dec-27 PT of NT\$6,200 is based on 30x 2028E P/E, largely in line with Jentech's three-year average P/E when the AI server boom started.

## Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.00    | 0.04    |
| Region: Taiwan               | 0.34    | 0.20    |
| <b>Macro:</b>                |         |         |
| Citi Economic Surprise - EM  | 0.18    | 0.21    |
| Generic 1st 'CO' Future      | -0.11   | -0.20   |
| JPM China A-shares Sentiment | 0.06    | 0.20    |
| <b>Quant Styles:</b>         |         |         |
| Quality                      | 0.24    | 0.34    |
| Growth                       | 0.18    | 0.23    |
| Momentum                     | 0.13    | 0.13    |

## Estimate revisions

Table 1: J.P. Morgan estimates – New vs old

| (NT\$M)          | Revised |       |        |        |        | Prior |       |        |        |        | Change |       |       |        |        |
|------------------|---------|-------|--------|--------|--------|-------|-------|--------|--------|--------|--------|-------|-------|--------|--------|
|                  | 3Q26E   | 4Q26E | 2026E  | 2027E  | 2028E  | 3Q26E | 4Q26E | 2026E  | 2027E  | 2028E  | 3Q26E  | 4Q26E | 2026E | 2027E  | 2028E  |
| Sales            | 9,665   | 9,919 | 32,165 | 55,056 | 82,546 | 9,665 | 9,919 | 32,165 | 53,639 | 75,883 | 0%     | 0%    | 0%    | 3%     | 9%     |
| Gross profit     | 4,592   | 4,713 | 14,926 | 27,289 | 42,758 | 4,592 | 4,713 | 14,926 | 26,531 | 39,142 | 0%     | 0%    | 0%    | 3%     | 9%     |
| GM               | 47.5%   | 47.5% | 46.4%  | 49.6%  | 51.8%  | 47.5% | 47.5% | 46.4%  | 49.5%  | 51.6%  | 0 bps  | 0 bps | 0 bps | 10 bps | 22 bps |
| Operating profit | 3,809   | 4,064 | 12,318 | 23,712 | 37,947 | 3,809 | 4,064 | 12,318 | 23,042 | 34,719 | 0%     | 0%    | 0%    | 3%     | 9%     |
| OPM              | 39.4%   | 41.0% | 38.3%  | 43.1%  | 46.0%  | 39.4% | 41.0% | 38.3%  | 43.0%  | 45.8%  | 0 bps  | 0 bps | 0 bps | 11 bps | 22 bps |
| Net Income       | 3,040   | 3,244 | 10,001 | 18,935 | 30,306 | 3,040 | 3,244 | 10,001 | 18,405 | 27,748 | 0%     | 0%    | 0%    | 3%     | 9%     |
| EPS (NT\$)       | 20.7    | 22.1  | 68.2   | 129.0  | 206.5  | 20.7  | 22.1  | 68.2   | 125.4  | 189.1  | 0%     | 0%    | 0%    | 3%     | 9%     |

Source: J.P. Morgan estimates.

Table 2: J.P. Morgan estimates vs Bloomberg consensus

| (NT\$M)          | JPMe  |       |        |        |        | Bloomberg |       |        |        |        | Diff    |         |         |         |         |
|------------------|-------|-------|--------|--------|--------|-----------|-------|--------|--------|--------|---------|---------|---------|---------|---------|
|                  | 3Q26E | 4Q26E | 2026E  | 2027E  | 2028E  | 3Q26E     | 4Q26E | 2026E  | 2027E  | 2028E  | 3Q26E   | 4Q26E   | 2026E   | 2027E   | 2028E   |
| Sales            | 9,665 | 9,919 | 32,165 | 55,056 | 82,546 | 8,402     | 9,538 | 30,337 | 54,061 | 80,357 | 15%     | 4%      | 6%      | 2%      | 3%      |
| Gross profit     | 4,592 | 4,713 | 14,926 | 27,289 | 42,758 | 3,903     | 4,499 | 13,758 | 26,418 | 39,254 | 18%     | 5%      | 8%      | 3%      | 9%      |
| GM               | 47.5% | 47.5% | 46.4%  | 49.6%  | 51.8%  | 46.4%     | 47.2% | 45.4%  | 48.9%  | 48.9%  | 106 bps | 34 bps  | 106 bps | 70 bps  | 295 bps |
| Operating profit | 3,809 | 4,064 | 12,318 | 23,712 | 37,947 | 3,109     | 3,795 | 11,207 | 23,370 | 36,768 | 22%     | 7%      | 10%     | 1%      | 3%      |
| OPM              | 39.4% | 41.0% | 38.3%  | 43.1%  | 46.0%  | 37.0%     | 39.8% | 36.9%  | 43.2%  | 45.8%  | 240 bps | 118 bps | 135 bps | -16 bps | 21 bps  |
| Net Income       | 3,040 | 3,244 | 10,001 | 18,935 | 30,306 | 2,491     | 2,451 | 9,056  | 18,669 | 29,049 | 22%     | 32%     | 10%     | 1%      | 4%      |
| EPS (NT\$)       | 20.7  | 22.1  | 68.2   | 129.0  | 206.5  | 17.0      | 20.7  | 61.1   | 124.2  | 197.9  | 22%     | 7%      | 11%     | 4%      | 4%      |

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

## Valuation

Table 3: Jentech's five-year trading multiples

| x                  | P/E trailing | 12M fwd P/E | P/B trailing | 12M fwd P/B |
|--------------------|--------------|-------------|--------------|-------------|
| Standard Deviation | 18.9         | 7.5         | 5.4          | 3.8         |
| Max                | 115.9        | 61.8        | 31.5         | 23.3        |
| Minimum            | 18.5         | 16.7        | 4.8          | 4.2         |
| Median             | 50.3         | 32.6        | 11.2         | 8.1         |
| Average            | 51.9         | 33.4        | 12.2         | 9.2         |

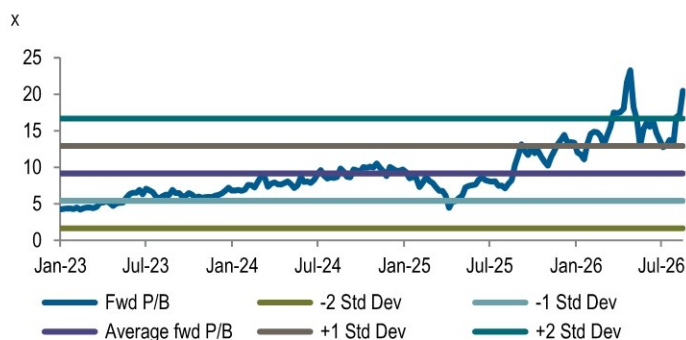
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: Jentech's 1yr fwd P/E vs. mean



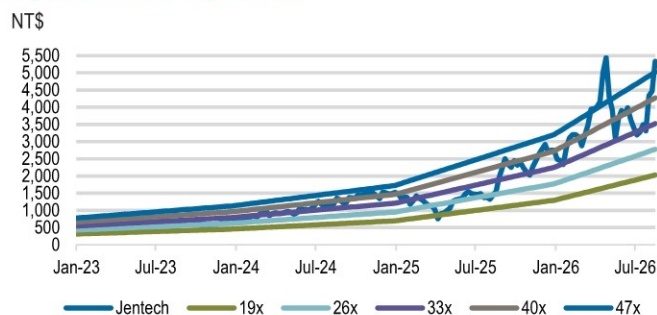
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: Jentech's 1yr fwd P/B vs. mean



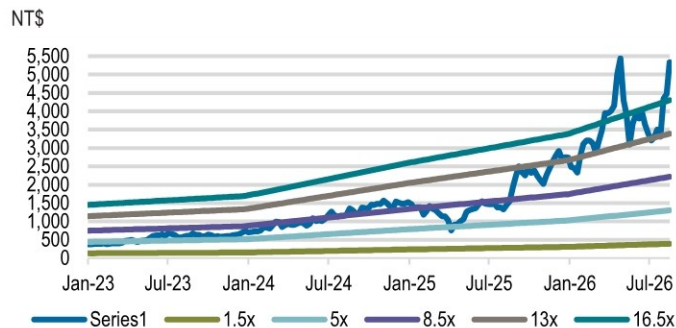
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: Jentech's 1yr fwd P/E



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: Jentech's 1yr fwd P/B vs. mean



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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17 August 2026

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Table 4: Income statement

|                               | 2024         |              |              |              | 2025         |              |              |              | 2026E        |              |              |              | 2027E        |               |               |               | 2028E         |               |               |               |               |               |               |               |               |
|-------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| (NT\$ in Mn, year-end Dec)    | 1Q           | 2Q           | 3Q           | 4Q           | 1Q           | 2Q           | 3Q           | 4Q           | 1Q           | 2Q           | 3QE          | 4QE          | 1QE          | 2QE           | 3QE           | 4QE           | 1QE           | 2QE           | 3QE           | 4QE           | 2024          | 2025          | 2026E         | 2027E         | 2028E         |
| <b>Revenue</b>                | <b>2,864</b> | <b>3,401</b> | <b>3,593</b> | <b>4,420</b> | <b>4,752</b> | <b>5,181</b> | <b>5,070</b> | <b>5,272</b> | <b>5,305</b> | <b>7,275</b> | <b>9,665</b> | <b>9,919</b> | <b>9,985</b> | <b>11,245</b> | <b>15,186</b> | <b>18,640</b> | <b>18,440</b> | <b>19,582</b> | <b>21,870</b> | <b>22,654</b> | <b>14,278</b> | <b>20,276</b> | <b>32,165</b> | <b>55,056</b> | <b>82,546</b> |
| D&A                           | 142          | 150          | 153          | 152          | 154          | 159          | 164          | 171          | 177          | 186          | 191          | 197          | 204          | 209           | 214           | 221           | 227           | 232           | 238           | 244           | 597           | 648           | 750           | 848           | 942           |
| COGS                          | 1,858        | 2,080        | 2,223        | 2,752        | 2,618        | 3,032        | 3,094        | 3,098        | 3,089        | 3,870        | 5,074        | 5,206        | 5,184        | 5,778         | 7,805         | 9,201         | 9,007         | 9,524         | 10,462        | 10,795        | 8,913         | 11,842        | 17,238        | 27,767        | 39,788        |
| <b>Gross profit</b>           | <b>1,007</b> | <b>1,321</b> | <b>1,370</b> | <b>1,668</b> | <b>2,134</b> | <b>2,149</b> | <b>1,976</b> | <b>2,175</b> | <b>2,217</b> | <b>3,405</b> | <b>4,592</b> | <b>4,713</b> | <b>4,801</b> | <b>5,467</b>  | <b>7,381</b>  | <b>9,440</b>  | <b>9,433</b>  | <b>10,058</b> | <b>11,408</b> | <b>11,859</b> | <b>5,365</b>  | <b>8,434</b>  | <b>14,926</b> | <b>27,289</b> | <b>42,758</b> |
| Operating expense             | 349          | 369          | 400          | 449          | 469          | 450          | 491          | 526          | 520          | 656          | 783          | 650          | 709          | 759           | 972           | 1,137         | 1,143         | 1,175         | 1,247         | 1,246         | 1,567         | 1,936         | 2,608         | 3,577         | 4,811         |
| <b>Operating income</b>       | <b>658</b>   | <b>952</b>   | <b>970</b>   | <b>1,219</b> | <b>1,666</b> | <b>1,699</b> | <b>1,484</b> | <b>1,648</b> | <b>1,697</b> | <b>2,749</b> | <b>3,809</b> | <b>4,064</b> | <b>4,092</b> | <b>4,708</b>  | <b>6,610</b>  | <b>8,302</b>  | <b>8,289</b>  | <b>8,883</b>  | <b>10,162</b> | <b>10,613</b> | <b>3,799</b>  | <b>6,498</b>  | <b>12,318</b> | <b>23,712</b> | <b>37,947</b> |
| Net Interest Income           | 30           | 32           | 11           | 11           | 14           | 14           | 5            | 21           | 24           | 37           | 40           | 42           | 56           | 70            | 58            | 71            | 91            | 111           | 93            | 120           | 83            | 54            | 143           | 256           | 415           |
| Net Other Income              | 184          | 73           | 13           | 94           | 61           | -387         | 233          | 147          | 55           | 55           | 0            | 0            | 0            | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 364           | 54            | 110           | 0             | 0             |
| Pre-tax profit                | 872          | 1,056        | 994          | 1,323        | 1,741        | 1,327        | 1,723        | 1,817        | 1,776        | 2,841        | 3,849        | 4,106        | 4,149        | 4,778         | 6,668         | 8,374         | 8,380         | 8,994         | 10,255        | 10,733        | 4,245         | 6,607         | 12,571        | 23,968        | 38,361        |
| Tax expense (credit)          | 183          | 203          | 220          | 224          | 366          | 196          | 356          | 379          | 371          | 512          | 808          | 862          | 871          | 1,003         | 1,400         | 1,758         | 1,760         | 1,889         | 2,153         | 2,254         | 830           | 1,297         | 2,554         | 5,033         | 8,056         |
| <b>Net profit reported</b>    | <b>711</b>   | <b>852</b>   | <b>770</b>   | <b>1,095</b> | <b>1,371</b> | <b>1,121</b> | <b>1,356</b> | <b>1,429</b> | <b>1,398</b> | <b>2,318</b> | <b>3,040</b> | <b>3,244</b> | <b>3,277</b> | <b>3,775</b>  | <b>5,268</b>  | <b>6,615</b>  | <b>6,620</b>  | <b>7,105</b>  | <b>8,101</b>  | <b>8,479</b>  | <b>3,428</b>  | <b>5,277</b>  | <b>10,001</b> | <b>18,935</b> | <b>30,306</b> |
| <b>EPS (NT\$)</b>             | <b>5.0</b>   | <b>6.0</b>   | <b>5.4</b>   | <b>7.7</b>   | <b>9.6</b>   | <b>7.8</b>   | <b>9.5</b>   | <b>9.7</b>   | <b>9.5</b>   | <b>15.8</b>  | <b>20.7</b>  | <b>22.1</b>  | <b>22.3</b>  | <b>25.7</b>   | <b>35.9</b>   | <b>45.1</b>   | <b>45.1</b>   | <b>48.4</b>   | <b>55.2</b>   | <b>57.8</b>   | <b>24.1</b>   | <b>36.7</b>   | <b>68.2</b>   | <b>129.0</b>  | <b>206.5</b>  |
| <b>Margins (%)</b>            |              |              |              |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |               |               |               |               |               |               |
| Gross Margin                  | 35.1         | 38.8         | 38.1         | 37.7         | 44.9         | 41.5         | 39.0         | 41.2         | 41.8         | 46.8         | 47.5         | 47.5         | 48.1         | 48.6          | 49.9          | 50.6          | 51.2          | 51.4          | 52.2          | 52.3          | 37.6          | 41.6          | 46.4          | 49.6          | 51.8          |
| - Opex ratio                  | 12.2         | 10.9         | 11.1         | 10.1         | 9.9          | 8.7          | 9.7          | 10.0         | 9.8          | 9.0          | 8.1          | 6.6          | 7.1          | 6.8           | 6.4           | 6.1           | 6.2           | 6.0           | 5.7           | 5.5           | 11.0          | 9.5           | 8.1           | 6.5           | 5.8           |
| Operating Margin              | 23.0         | 28.0         | 27.0         | 27.6         | 35.1         | 32.8         | 29.3         | 31.3         | 32.0         | 37.8         | 39.4         | 41.0         | 41.0         | 41.9          | 43.5          | 44.5          | 45.0          | 45.4          | 46.5          | 46.8          | 26.6          | 32.0          | 38.3          | 43.1          | 46.0          |
| EBITDA Margin                 | 27.9         | 32.4         | 31.3         | 31.0         | 38.3         | 35.9         | 32.5         | 34.5         | 35.3         | 40.3         | 41.4         | 43.0         | 43.0         | 43.7          | 44.9          | 45.7          | 46.2          | 46.6          | 47.6          | 47.9          | 30.8          | 35.2          | 40.6          | 44.6          | 47.1          |
| Net Margin                    | 24.8         | 25.0         | 21.4         | 24.8         | 28.8         | 21.6         | 26.7         | 27.1         | 26.4         | 31.9         | 31.5         | 32.7         | 32.8         | 33.6          | 34.7          | 35.5          | 35.9          | 36.3          | 37.0          | 37.4          | 24.0          | 26.0          | 31.1          | 34.4          | 36.7          |
| <b>Sequential Growth (%)</b>  |              |              |              |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |               |               |               |               |               |               |
| Revenue                       | -8.3         | 18.7         | 5.6          | 23.0         | 7.5          | 9.0          | -2.2         | 4.0          | 0.6          | 37.1         | 32.9         | 2.6          | 0.7          | 12.6          | 35.1          | 22.7          | -1.1          | 6.2           | 11.7          | 3.6           |               |               |               |               |               |
| Gross Profit                  | -9.1         | 31.2         | 3.7          | 21.7         | 28.0         | 0.7          | -8.1         | 10.1         | 1.9          | 53.6         | 34.9         | 2.7          | 1.9          | 13.9          | 38.7          | 24.5          | -0.1          | 6.6           | 13.4          | 3.9           |               |               |               |               |               |
| EBIT                          | -11.5        | 44.7         | 1.9          | 25.7         | 36.7         | 2.0          | -12.7        | 11.0         | 2.9          | 62.0         | 38.5         | 6.7          | 0.7          | 15.0          | 40.4          | 25.6          | -0.2          | 7.2           | 14.4          | 4.4           |               |               |               |               |               |
| EPS                           | 48.3         | 18.0         | -9.6         | 42.1         | 25.2         | -18.2        | 20.9         | 2.7          | -2.2         | 65.8         | 31.1         | 6.7          | 1.0          | 15.2          | 39.6          | 25.6          | 0.1           | 7.3           | 14.0          | 4.7           |               |               |               |               |               |
| <b>YoY Growth (%)</b>         |              |              |              |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |               |               |               |               |               |               |
| Revenue                       | 1.4          | 19.8         | 9.7          | 41.5         | 65.9         | 52.3         | 41.1         | 19.3         | 11.6         | 40.4         | 90.7         | 88.1         | 88.2         | 54.6          | 57.1          | 87.9          | 84.7          | 74.1          | 44.0          | 21.5          | 18.4          | 42.0          | 58.6          | 71.2          | 49.9          |
| Gross Profit                  | 8.3          | 49.6         | 22.0         | 50.6         | 112.0        | 62.7         | 44.2         | 30.4         | 3.8          | 58.4         | 132.4        | 116.7        | 116.6        | 60.6          | 65.1          | 100.3         | 96.5          | 84.0          | 50.5          | 25.6          | 32.7          | 57.2          | 77.0          | 82.8          | 56.7          |
| EBIT                          | 7.8          | 70.5         | 26.8         | 64.0         | 153.2        | 78.6         | 53.0         | 35.2         | 1.8          | 61.8         | 156.6        | 146.5        | 141.2        | 71.2          | 73.5          | 104.3         | 102.6         | 88.7          | 53.7          | 27.8          | 41.9          | 71.1          | 89.6          | 92.5          | 60.0          |
| EPS                           | 41.1         | 46.9         | 0.6          | 125.0        | 90.0         | 31.6         | 76.0         | 27.1         | -0.7         | 101.4        | 118.4        | 127.0        | 134.4        | 62.8          | 73.3          | 103.9         | 102.0         | 88.2          | 53.8          | 28.2          | 46.7          | 52.4          | 85.8          | 89.3          | 60.1          |
| <b>Segment QoQ growth (%)</b> |              |              |              |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |               |               |               |               |               |               |
| Thermal module                | -11          | 22           | 13           | 32           | 11           | 12           | -7           | 4            | 0            | 44           | 42           | 2            | 1            | 13            | 43            | 26            | -1            | 5             | 12            | 3             | 26            | 58            | 68            | 86            | 55            |
| Server ILM and socket         | -7           | 39           | -9           | -7           | -3           | 23           | 4            | 11           | -10          | 12           | 14           | -3           | -15          | 28            | 2             | 2             | -18           | 23            | 4             | 4             | 4             | 16            | 21            | 12            | 8             |
| Lead frame                    | -1           | -12          | 4            | -15          | 2            | 9            | 1            | 2            | 2            | 27           | 3            | 8            | 0            | 0             | 0             | 0             | 0             | 0             | 0             | 0             | -6            | -4            | 32            | 13            | 0             |
| Comm. connectors              | -35          | -7           | 9            | 35           | -78          | 51           | 152          | -40          | 57           | -13          | 8            | 0            | 0            | 0             | 0             | 0             | 0             | 0             | 0             | 0             | -20           | -40           | 55            | 0             | 0             |
| Others                        | 9            | 52           | -19          | 41           | 14           | -19          | 23           | 5            | 4            | 25           | 1            | 0            | 0            | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 47            | 39            | 34            | 6             | 0             |
| <b>Segment Mix (%)</b>        |              |              |              |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |               |               |               |               |               |               |
| Thermal module                | 60           | 62           | 66           | 71           | 73           | 75           | 72           | 72           | 72           | 75           | 80           | 80           | 80           | 81            | 85            | 88            | 88            | 87            | 87            | 86            | 66            | 73            | 77            | 84            | 87            |
| Server ILM and socket         | 9            | 11           | 9            | 7            | 6            | 7            | 7            | 8            | 7            | 6            | 5            | 5            | 4            | 5             | 3             | 3             | 2             | 3             | 3             | 3             | 9             | 7             | 5             | 4             | 3             |
| Lead frame                    | 19           | 14           | 14           | 10           | 9            | 9            | 9            | 9            | 9            | 9            | 7            | 7            | 7            | 6             | 5             | 4             | 4             | 4             | 3             | 3             | 14            | 9             | 8             | 5             | 3             |
| Comm. connectors              | 2            | 2            | 2            | 2            | 0            | 1            | 2            | 1            | 1            | 1            | 1            | 1            | 1            | 1             | 0             | 0             | 0             | 0             | 0             | 0             | 2             | 1             | 1             | 1             | 0             |
| Others                        | 9            | 12           | 9            | 10           | 11           | 8            | 10           | 10           | 11           | 10           | 7            | 7            | 7            | 6             | 5             | 4             | 4             | 4             | 3             | 3             | 10            | 10            | 8             | 5             | 3             |

Source: Company data, J.P. Morgan estimates.

## Investment Thesis, Valuation and Risks

**Jentech Precision Industrial Co.** (Overweight; Price Target: NT \$6,200.00)

### Investment Thesis

Jentech (OW) is the largest packaging-level cooling component maker worldwide, with leading production capabilities across heat spreader products (including stiffener and all kinds of lids). We expect the company to show a ~70% EPS CAGR over 2024-28, driven by solid heat spreader content growth in future-gen AI chips and increasing TAM into new solutions (e.g. CPO switch ASIC). In addition, the company is reinforcing its product portfolio with new offerings in cold plate and CPU server sockets for chip customers. We believe Jentech's technology leadership in the structural cooling upgrade trend and its new TAM expansion will continue to support its superior earnings power in the long term.

### Valuation

Our Dec-27 PT of NT\$6,200 is based on 30x 2028E P/E, largely in line with Jentech's three-year average P/E when the AI server boom started.

### Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) slower micro-channel lid adoption; 2) new competition in the high-end heat spreader market; and 3) other new cooling technologies that may lead to heat spreader removal or de-spec (silicon-integrated micro-cooler, CoWoP, etc.).

## Jentech Precision Industrial Co.: Summary of Financials

| Income Statement             |         |          |          |          |          | Cash Flow Statement                 |         |         |         |         |          |
|------------------------------|---------|----------|----------|----------|----------|-------------------------------------|---------|---------|---------|---------|----------|
|                              | FY24A   | FY25A    | FY26E    | FY27E    | FY28E    |                                     | FY24A   | FY25A   | FY26E   | FY27E   | FY28E    |
| Revenue                      | 14,278  | 20,276   | 32,165   | 55,056   | 82,546   | Cash flow from operating activities | 3,065   | 4,892   | 11,377  | 17,434  | 29,571   |
| COGS                         | (8,913) | (11,842) | (17,238) | (27,767) | (39,788) | o/w Depreciation & amortization     | 597     | 648     | 750     | 848     | 942      |
| Gross profit                 | 5,365   | 8,434    | 14,926   | 27,289   | 42,758   | o/w Changes in working capital      | (939)   | (1,014) | 651     | (2,320) | (1,645)  |
| SG&A                         | (969)   | (1,196)  | (1,644)  | (2,411)  | (3,227)  | Cash flow from investing activities | (3,109) | (1,064) | (1,713) | (1,628) | (1,631)  |
| Adj. EBITDA                  | 4,395   | 7,146    | 13,068   | 24,560   | 38,888   | o/w Capital expenditure             | (595)   | (3,851) | (1,912) | (1,631) | (1,631)  |
| D&A                          | (597)   | (648)    | (750)    | (848)    | (942)    | as % of sales                       | 4.2%    | 19.0%   | 5.9%    | 3.0%    | 2.0%     |
| Adj. EBIT                    | 3,799   | 6,498    | 12,318   | 23,712   | 37,947   | Cash flow from financing activities | (1,844) | 3,197   | (2,928) | (5,933) | (11,355) |
| Net Interest                 | 83      | 54       | 143      | 256      | 415      | o/w Dividends paid                  | (1,408) | (2,072) | (3,187) | (6,040) | (11,436) |
| Adj. PBT                     | 4,245   | 6,607    | 12,571   | 23,968   | 38,361   | o/w Shares issued/(repurchased)     | 0       | 0       | 0       | 0       | 0        |
| Tax                          | (830)   | (1,297)  | (2,554)  | (5,033)  | (8,056)  | o/w Net debt issued/(repaid)        | (741)   | 0       | 0       | 0       | 0        |
| Minority Interest            | -       | -        | -        | -        | -        | Net change in cash                  | (1,888) | 7,024   | 6,737   | 9,873   | 16,585   |
| Adj. Net Income              | 3,428   | 5,277    | 10,001   | 18,935   | 30,306   | Adj. Free cash flow to firm         | 2,470   | 1,041   | 9,465   | 15,803  | 27,940   |
| Reported EPS                 | 24.07   | 36.68    | 68.16    | 129.04   | 206.54   | y/y Growth                          | (4.8%)  | (57.8%) | 809.0%  | 67.0%   | 76.8%    |
| Adj. EPS                     | 24.07   | 36.68    | 68.16    | 129.04   | 206.54   |                                     |         |         |         |         |          |
| DPS                          | 10.00   | 14.50    | 21.72    | 41.16    | 77.94    |                                     |         |         |         |         |          |
| Payout ratio                 | 41.5%   | 39.5%    | 31.9%    | 31.9%    | 37.7%    |                                     |         |         |         |         |          |
| Shares outstanding           | 142     | 144      | 147      | 147      | 147      |                                     |         |         |         |         |          |
| Balance Sheet                |         |          |          |          |          | Ratio Analysis                      |         |         |         |         |          |
|                              | FY24A   | FY25A    | FY26E    | FY27E    | FY28E    |                                     | FY24A   | FY25A   | FY26E   | FY27E   | FY28E    |
| Cash and cash equivalents    | 2,267   | 9,292    | 16,028   | 25,902   | 42,487   | Gross margin                        | 37.6%   | 41.6%   | 46.4%   | 49.6%   | 51.8%    |
| Accounts receivable          | 4,061   | 5,414    | 8,153    | 14,299   | 17,378   | EBITDA margin                       | 30.8%   | 35.2%   | 40.6%   | 44.6%   | 47.1%    |
| Inventories                  | 3,062   | 3,652    | 6,307    | 11,851   | 14,403   | EBIT margin                         | 26.6%   | 32.0%   | 38.3%   | 43.1%   | 46.0%    |
| Other current assets         | 105     | 209      | 361      | 662      | 801      | Net profit margin                   | 24.0%   | 26.0%   | 31.1%   | 34.4%   | 36.7%    |
| Current assets               | 9,495   | 18,567   | 30,848   | 52,714   | 75,070   | ROE                                 | 25.4%   | 28.0%   | 37.6%   | 51.8%   | 57.8%    |
| PP&E                         | 4,852   | 8,073    | 9,260    | 10,071   | 10,791   | ROA                                 | 20.0%   | 22.7%   | 28.9%   | 36.0%   | 40.2%    |
| LT investments               | -       | -        | -        | -        | -        | ROCE                                | 22.0%   | 27.7%   | 36.9%   | 51.3%   | 57.2%    |
| Other non current assets     | 4,115   | 1,329    | 1,130    | 1,126    | 1,126    | SG&A/Sales                          | 6.8%    | 5.9%    | 5.1%    | 4.4%    | 3.9%     |
| Total assets                 | 18,462  | 27,969   | 41,238   | 63,911   | 86,987   | Net debt/Equity                     | NM      | NM      | NM      | NM      | NM       |
| Short term borrowings        | 0       | 0        | 0        | 0        | 0        | Net debt/EBITDA                     | NM      | NM      | NM      | NM      | NM       |
| Payables                     | 1,552   | 1,841    | 3,471    | 6,205    | 7,282    | Sales/Assets (x)                    | 0.8     | 0.9     | 0.9     | 1.0     | 1.1      |
| Other short term liabilities | 1,868   | 2,612    | 7,178    | 14,116   | 17,164   | Assets/Equity (x)                   | 1.3     | 1.2     | 1.3     | 1.4     | 1.4      |
| Current liabilities          | 3,420   | 4,453    | 10,649   | 20,321   | 24,446   | Interest cover (x)                  | NM      | NM      | NM      | NM      | NM       |
| Long-term debt               | 0       | 0        | 0        | 0        | 0        | Operating leverage                  | 228.1%  | 169.2%  | 152.7%  | 130.0%  | 120.2%   |
| Other long term liabilities  | 384     | 451      | 498      | 605      | 686      | Tax rate                            | 19.6%   | 19.6%   | 20.3%   | 21.0%   | 21.0%    |
| Total liabilities            | 3,804   | 4,904    | 11,147   | 20,925   | 25,132   | Revenue y/y Growth                  | 18.4%   | 42.0%   | 58.6%   | 71.2%   | 49.9%    |
| Shareholders' equity         | 14,658  | 23,065   | 30,091   | 42,986   | 61,855   | EBITDA y/y Growth                   | 36.8%   | 62.6%   | 82.9%   | 87.9%   | 58.3%    |
| Minority interests           | -       | -        | -        | -        | -        | EPS y/y Growth                      | 46.7%   | 52.4%   | 85.8%   | 89.3%   | 60.1%    |
| Total liabilities & equity   | 18,462  | 27,969   | 41,238   | 63,911   | 86,987   |                                     |         |         |         |         |          |
| BVPS                         | 102.56  | 157.19   | 205.07   | 292.95   | 421.55   |                                     |         |         |         |         |          |
| y/y Growth                   | 17.1%   | 53.3%    | 30.5%    | 42.9%    | 43.9%    |                                     |         |         |         |         |          |
| Net debt/(cash)              | (2,267) | (9,292)  | (16,028) | (25,902) | (42,487) |                                     |         |         |         |         |          |

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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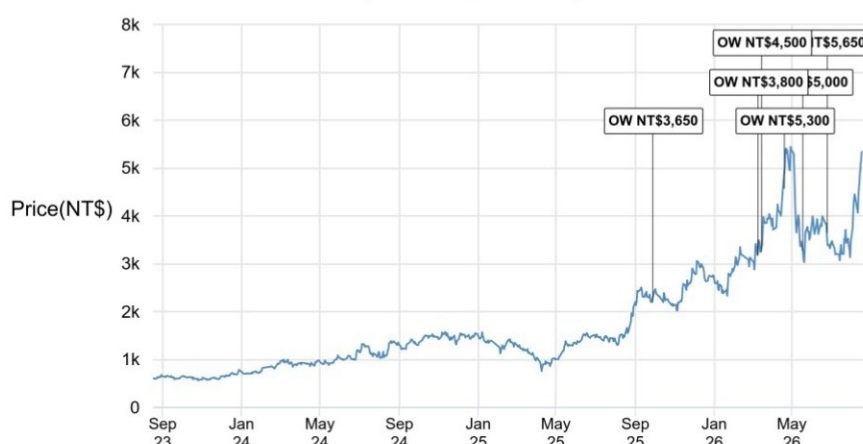
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Jentech Precision Industrial Co. (3653.TW, 3653 TT) Price Chart



| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 29-Sep-25 | OW     | 2195.00      | 3,650               |
| 10-Mar-26 | OW     | 3180.00      | 3,800               |
| 16-Mar-26 | OW     | 3245.00      | 4,500               |
| 20-Apr-26 | OW     | 4565.00      | 5,300               |
| 19-May-26 | OW     | 3270.00      | 5,000               |
| 25-Jun-26 | OW     | 3640.00      | 5,650               |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 29, 2025. All share prices are as of market close on the previous business day.

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|----------------------------------------------|---------------------|-------------------|-----------------------|
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